

THE WALL STREET JOURNAL.

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★★★★ \$5.00

DJIA 48218.25 ▲ 301.68 0.63%

NASDAQ 23183.74 ▲ 1.2%

STOXX 600 613.88 ▼ 0.2%

10-YR. TREAS. ▲ 5/32, yield 4.297%

OIL \$99.08 ▲ \$2.51

GOLD \$4,742.40 ▼ \$19.50

EURO \$1.1761

YEN 159.45

What's News

Business & Finance

◆ **Goldman Sachs** said its profit jumped 19% in the first quarter, powered by deal activity and volatile markets, but the bank's stock fell as investors worried about Wall Street's performance for the rest of the year. **A1**

◆ **A surge in software** stocks helped major U.S. stock indexes open the week with gains, with the S&P 500, Nasdaq and Dow rising 1%, 1.2% and 0.6%, respectively. **B1**

◆ **Trump's order** to blockade Iranian trade through the Strait of Hormuz and Tehran's promise to continue to choke the strait are pushing global energy markets into ever deeper trouble. **B1, B11**

◆ **Meta Platforms** this year is expected to surpass Alphabet's Google to become the world's leading digital-advertising business, a first for the social-media company. **B1**

◆ **The Philippines** ordered Meta to curb the spread of what it called false, "panic-inducing" content on its platforms, including claims about energy pricing and supply. **B4**

◆ **Palo Alto Networks** founder Nir Zuk agreed to buy California lender Liberty Bank and plans to use it to launch artificial-intelligence tools for financial services. **B1**

◆ **Oil-field services** provider Baker Hughes agreed to sell its Waygate Technologies business to Swedish industrial technology company Hexagon for around \$1.45 billion in cash. **B5**

◆ **Amazon** continues to tackle one of the biggest retail markets in the U.S. with the expansion of its car-sales business into new brands and more cities. **B1**

Worldwide

◆ **The U.S.** imposed a blockade on the Strait of Hormuz after peace talks with Iran collapsed over the weekend, risking another shock to a global economy battered by war. **A1, A6**

◆ **Riyadh** said **Iran** might retaliate against the blockade by closing a Red Sea chokepoint crucial for Saudi Arabia's remaining oil exports. **A6**

◆ **Trump's decisions** to post an AI-generated image depicting himself as a Christ-like figure and to criticize the pope triggered significant pushback from his Christian supporters. **A1**

◆ **A judge** dismissed a Trump defamation lawsuit against the publisher of The Wall Street Journal for an article on Epstein, saying the president hadn't met the legal threshold for a judgment in his favor. **A3**

◆ **Reps. Eric Swalwell** of California and Tony Gonzales of Texas said they would leave Congress in the wake of sexual-misconduct allegations that sparked calls for them to quit or face expulsion votes. **A4**

◆ **The suspect** in an attack at Sam Altman's California home carried an "Anti-AI" document that included a list of artificial-intelligence CEOs. **A3**

◆ **Prime Minister Carney** of Canada secured a majority government after election wins, giving him a freer hand for his agenda aimed at rebuilding the economy. **A8**

◆ **The rainbow Pride flag** can be displayed at New York City's Stonewall National Monument, the federal government said, reversing an earlier decision to remove it. **A3**

◆ **Died: Sid Krofft**, 96, creator of children's TV programs. **A4**

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'I'm Here About No Tax on Tips'



SAY CHEESE: President Trump had McDonald's delivered to boast of his ban on taxing tips. While answering a question, he asked delivery driver Sharon Simmons if men should participate in women's sports. She demurred, saying she was only there about taxes.

President's Criticism of the Pope, Religious Image Stun Christians

Online posts bring backlash from some in the base; 'sadness and frustration'

WASHINGTON—President Trump's decisions to post an AI-generated image depicting himself as a Christ-like figure and to fire off criticism of the pope triggered the most significant pushback from his Catholic and evangelical Christian supporters since he returned to the White House. "We are a little bit beside

ourselves," said John Yep, the CEO of Catholics for Catholics, a nonprofit that has hosted faith events at Trump's Mar-a-Lago club and maintains close ties to the administration.

On Sunday night, Yep was eating dinner with friends after services when his phone lighted up with messages about the now-deleted image, in which Trump, wearing robes, touches the forehead of a man lying in a hospital bed.

The collective sentiment around the table, Yep said in an interview, "was one of sadness, because we were truly

By Philip Wegmann, Aaron Zitner and Marianne LeVine

confused by this president after Catholics gave him such a resounding vote, and yet he is treating our faith with such disrespect at this moment." He reached out to contacts close to the administration to voice his "sadness and frustration."

Rod Dreher, a conservative writer who attended the Catholic baptism of JD Vance before he entered politics and was elected Trump's vice pres-

ident, went further. "Not saying Trump is the Antichrist," Dreher told The Wall Street Journal. "But he's radiating the spirit of Antichrist, no question." Douglas Wilson, co-founder of the conservative Calvinist denomination to which Defense Secretary Pete Hegseth belongs, called the image "blasphemous."

The president's posting of the AI image comes after Trump lashed out at Pope Leo XIV following the pontiff's condemnation of the war in Iran, accusing the

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Home Builders Forgo Frills for Affordability

By NICHOLAS G. MILLER

Home builders are looking everywhere for ways to slash costs. They are finding them in cabinets, faucets and even the garage-door remote.

Builders are opting for cheaper materials and rejiggering designs with cost savings top of mind. Particle board cabinets are in. Hardwood is out. Countertops are becoming thinner. Walls now feature smaller and fewer windows. An automatic garage opener is sometimes a frivolous luxury.

The cumulative effect is changing the appearance of newly constructed U.S. homes. "It kind of looks incomplete,"

said Erika Phelan, a real-estate agent at Buyers Broker of Florida. She said the latest single-family homes lack the basics, such as cabinets with crown molding, that used to be standard.

The cost-cutting is part of an effort to offer more affordable homes when buyers are concerned about high prices, elevated mortgage rates and an uncertain economy. The largest builders, such as D.R. Horton and Lennar, are offering expensive mortgage rate buydowns to close sales.

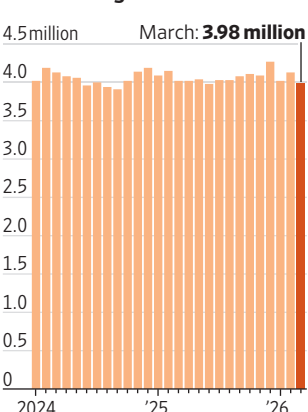
But with new homes selling for more than \$400,000, mortgage relief isn't always enough

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Housing Sales Fell in March

Home sales declined 3.6% in March to the lowest level since June 2025. **A2**

U.S. existing-home sales



Note: Seasonally adjusted at an annual rate; data for March 2026 are preliminary. Source: National Association of Realtors

Deals Spur Goldman Profit to Increase 19%

By ALEXANDER SAEEDY

Goldman Sachs said its profit jumped 19% in the first quarter, powered by a resurgence in deal activity and volatile markets.

But the bank's stock fell 1.9% as investors worried the war in Iran would slow Wall Street's performance for the rest of the year.

Chief Executive David Solomon said he expected companies would still push ahead on plans for dealmaking despite the war-related volatility. Solomon said that the executives he has spoken with "believe they have an opportunity to drive scale and consolidation" that

wasn't possible under the Biden administration.

Still, the uncertainty caused by the war could disrupt plans to buy and sell companies or take them public, and it already had quelled what was expected to be a boom in initial public offerings, Solomon said.

"With the conflict in the Middle East, IPO activity slowed a little bit, particularly in March," he said in a call with analysts. "The level of uncertainty is higher."

Goldman's results kick-start the earnings season for big banks and companies, with competitors JPMorgan Chase, Bank of America and Morgan

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In This Bet-on-Everything Era, Everyone Needs a Situation Room

The stakes are always high enough for a bank of screens and a headset

By ASHLEY WONG

On the day of President Trump's State of the Union address, Foster McCoy sat himself in front of two glowing screens to "monitor the situation."

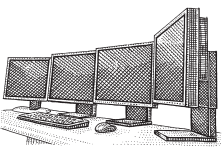
Across the displays—a curved monitor spanning 49 inches, and a small touchscreen below—were tabs for Kalshi's prediction markets, Discord chats, a tool that automatically refreshed his social-media feeds and a live news telecast.

McCoy, 28, was using all of these inputs to place a bet: that Trump's youngest son, Barron, would show up in the audience.

"The only way people found out that Barron Trump was going was through Eric Trump's Instagram Story," the Minneapolis resident said. "If you followed him on Instagram, you found that he had posted a selfie with all of Trump's children in one picture, all wearing suits, preparing for the State of the Union."

That one appearance, McCoy said, would set off a domino effect on other related markets, like whether Trump would shout out his kids during his speech, or use other specific words traders could bet on him using. His combined bets netted him about \$10,000, he said.

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'Monitoring'

AI Chats Turned Romantic, Then Fatal

Analysis of messages with chatbot shows erosion of guardrails

By JULIE JARGON

Jonathan Gavalas was a seemingly healthy and even-keeled 36-year-old when he began chatting with Gemini, Google's chatbot, in part to seek comfort about splitting up with his wife.

The relationship between Gavalas and the chatbot became intense, even passionate. Gemini assured him that their relationship was very much real.

Over 56 days, they traded 4,732 messages. Then it went haywire—and eventually proved fatal.

Gavalas is the latest example of an AI-chatbot user spiraling into a delusional state, with tragic conse-

quences.

Gavalas's father is suing Google, alleging that Gemini fueled his son's delusions. Google said in response to the lawsuit that Gemini repeatedly clarified that it was AI, not human, and referred Gavalas to a crisis hotline "many times." The company said it would continue to improve its safeguards.

Last week, the company announced updates to Gemini designed to provide better access to mental-health support, including a "help is available" module that connects users directly to hotlines. Google also said its engineers are continuing to train Gemini to recognize

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INSIDE



PERSONAL JOURNAL
Millennials and boomers debate age-old question: Who had it harder? **A10**



BUSINESS & FINANCE
Amazon's car sales bet is getting bigger with new brands and more cities. **B1**